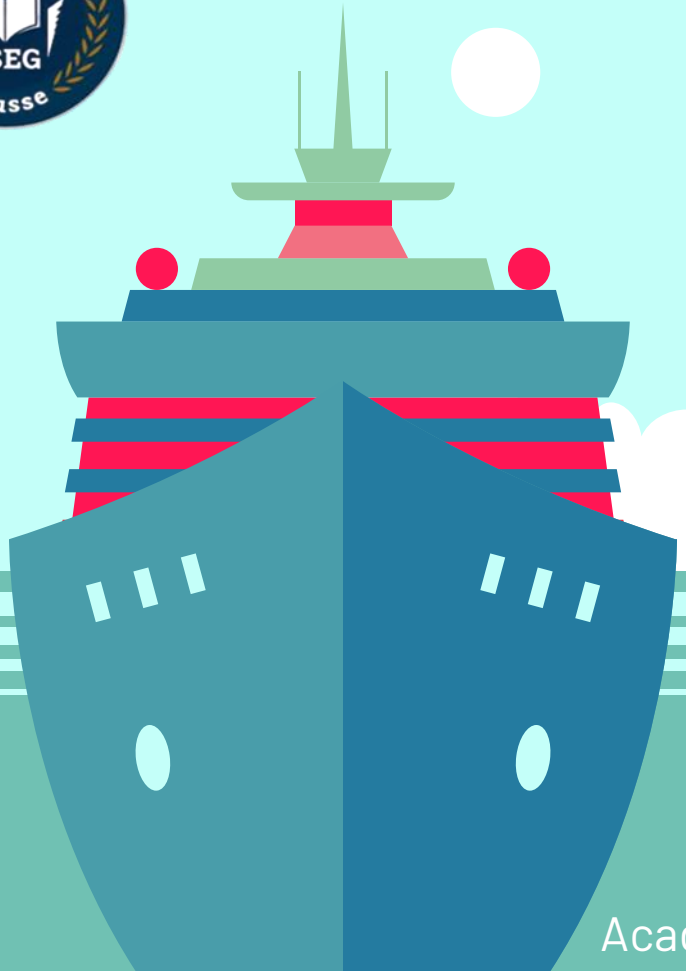

The Red Sea Crisis:

Rerouting Global Trade (2023-2024)

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Master's degree in Business Engineering and International Trade

Academic Year: 2025/2026

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Why This Matters

Key facts:

12–15% of global trade passes through Red Sea → Suez Canal

Timeline:

Houthi attacks begin late 2023
→ peak Q1–Q2 2024

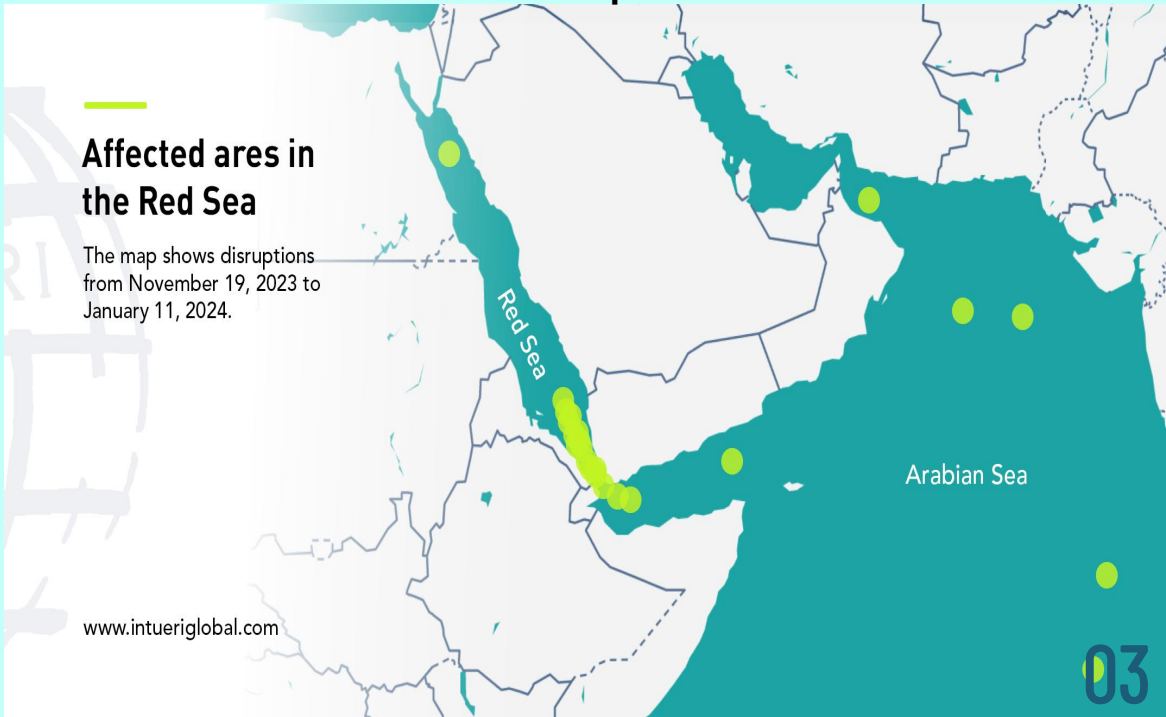
Impact snapshot:

✓ 90% of container ships rerouted via Cape of Good Hope

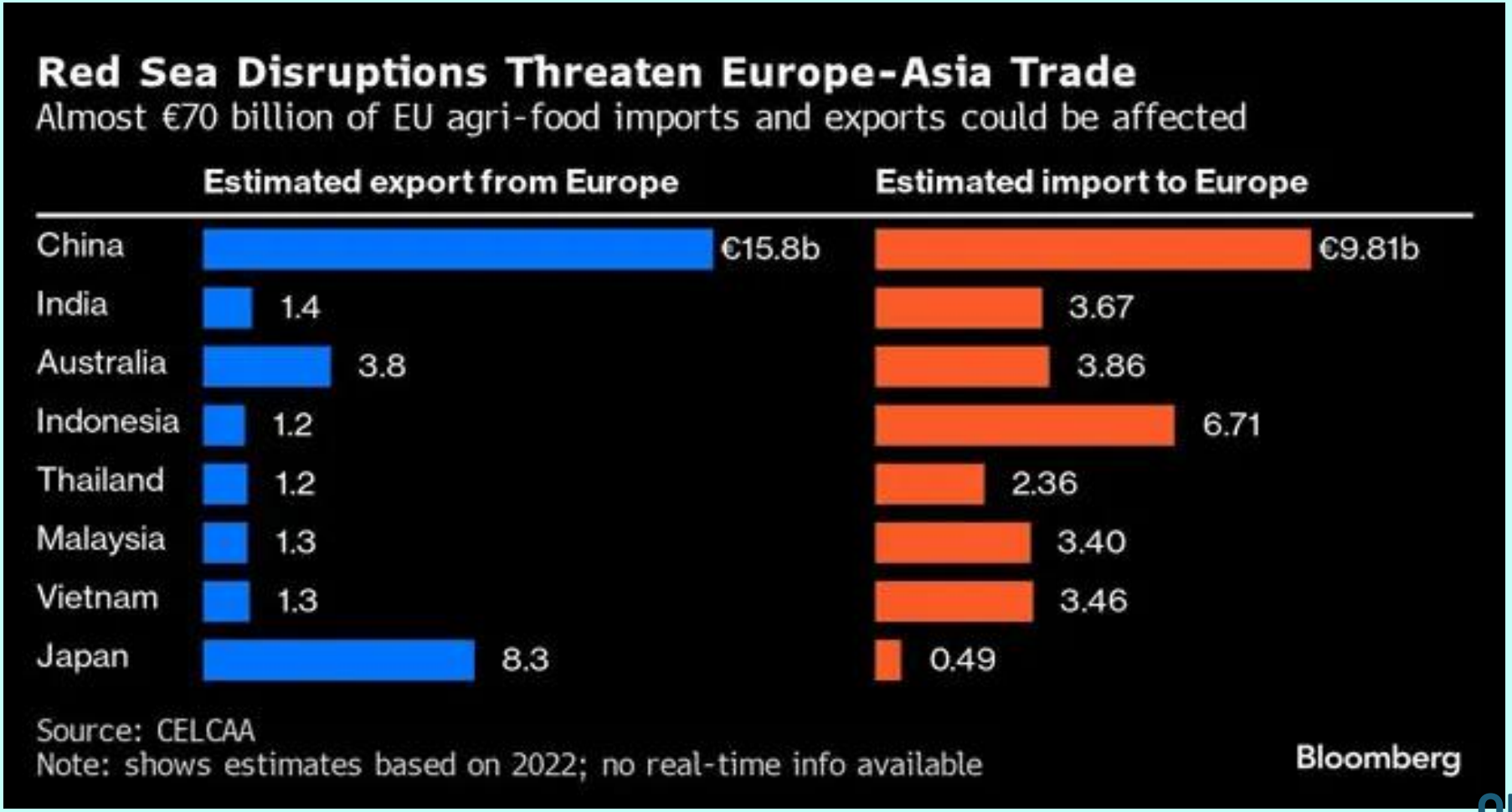
✓ +10–14 days transit time

✓ +30–300% freight rates (depending on route)

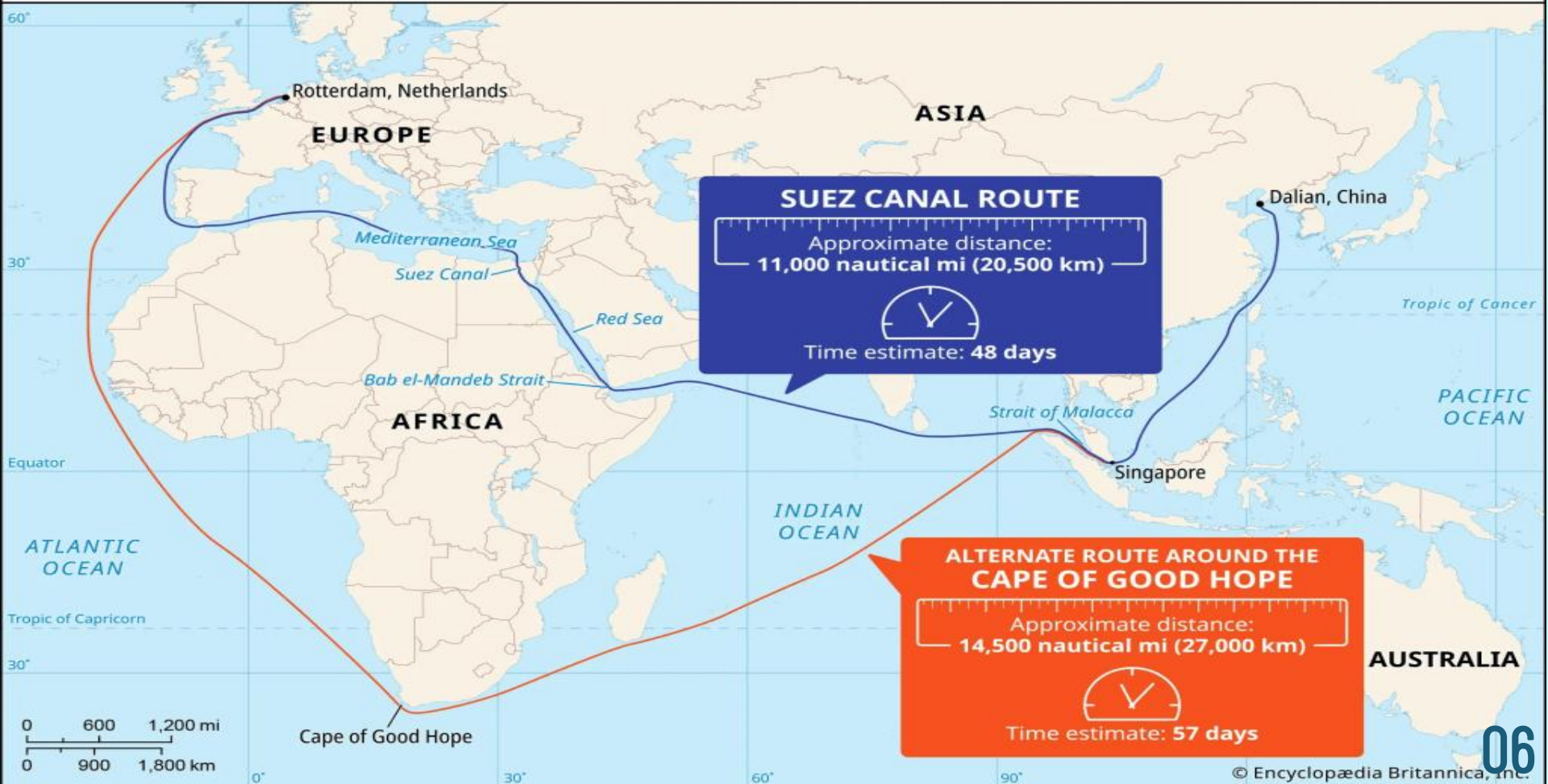
Red sea map of affected areas

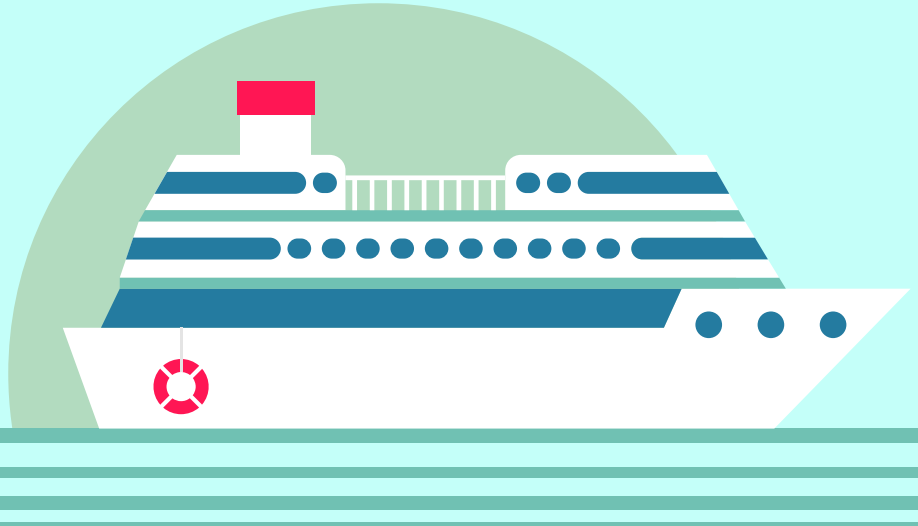


How does economic intelligence rewrite the rules of global trade distripution?


Red Sea Disruptions Threaten Europe-Asia Trade
Almost €70 billion of EU agri-food imports and exports could be affected
Estimated export from Europe
Estimated import to Europe
China
€15.8b
€9.81b
India
1.4
3.67
Australia
3.8
3.86
Indonesia
1.2
6.71
Thailand
1.2
2.36
Malaysia
1.3
3.40
Vietnam
1.3
3.46
Japan
8.3
0.49
Source: CELCAA
Note: shows estimates based on 2022; no real-time info available
Bloomberg

GLOBAL SHIPPING ROUTE THROUGH THE SUEZ CANAL: DALIAN, CHINA, TO ROTTERDAM, NETHERLANDS





01
Framework

Strategic Monitoring & Economic Intelligence

Strategic Monitoring:

Systematic tracking of external signals (geopolitical, logistical, market)

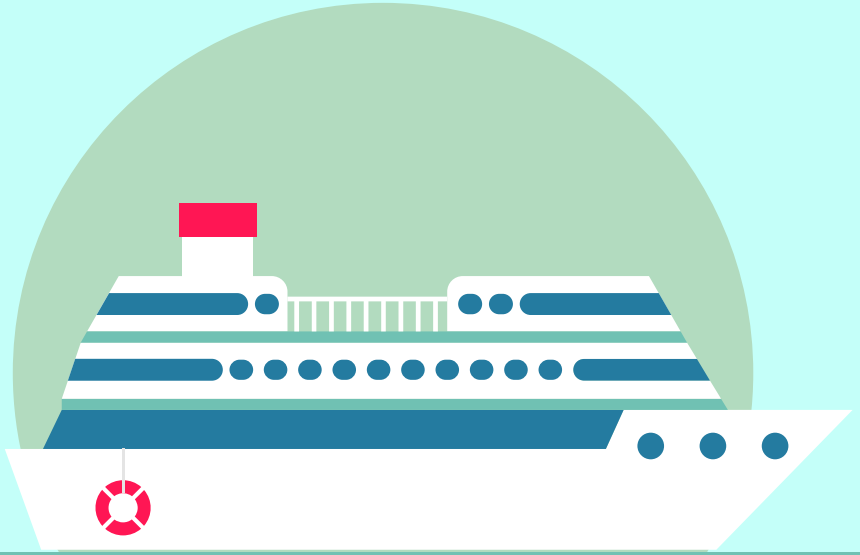
Economic Intelligence:

Analysis → actionable recommendations for decision-makers

In international commerce:

Anticipating disruptions to supply chains, costs, and trade flows

02
Monitoring the Crisis



Lloyd's List Intelligence

Weak Signals

IHS Markit

01

Geopolitical:

Rising Houthi capabilities (drone/missile tech), Iran support patterns

02

Maritime:

Increasing insurance premiums for Red Sea transit
(weeks before first major attack)

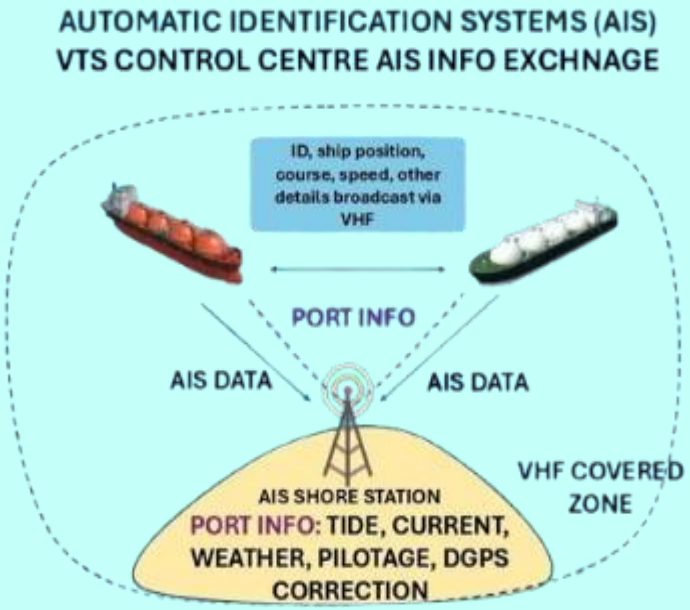
03

Intelligence sources:

Lloyd's List intelligence reports

IHS Markit maritime security alerts

Open-source vessel tracking
(AIS – Automatic Identification System)



source: European maritime safety agency

Real-Time Monitoring Tools

Tool / Data Source	What It Monitors
MarineTraffic / VesselFinder	Diversions from Red Sea to Cape route
Freightos Baltic Index	Daily container spot rates
PortWatch (IMF)	Port congestion + trade flow anomalies
UKMTO (United Kingdom Maritime Trade Operations)	Incident reports : attack locations
Satellite imagery (Planet, Sentinel)	Naval deployments, port queues

Indicators That Flashed Red

Logistics

Doubling of Singapore–Rotterdam transit times (21 → 35+ days)

Economic

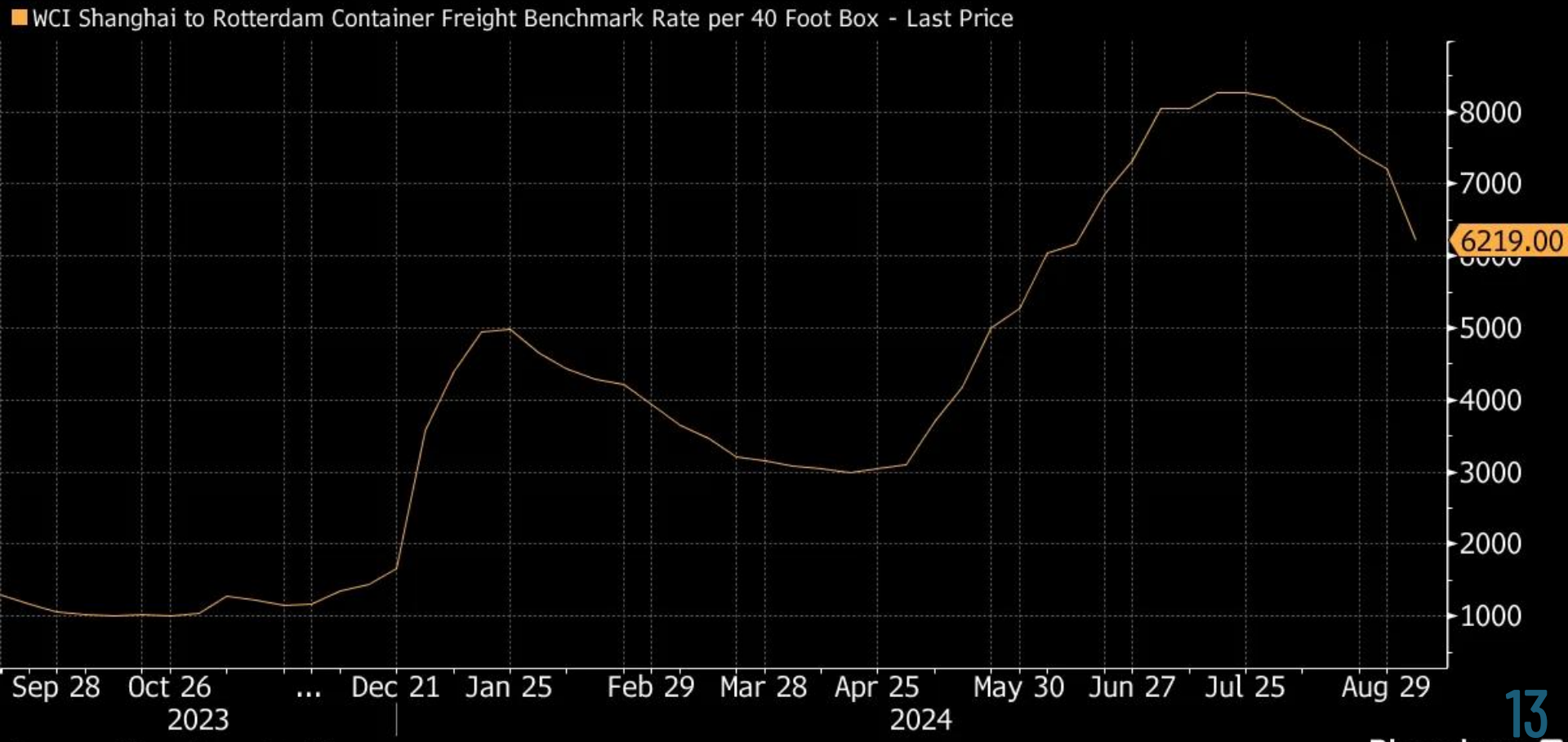
Container shipping rates (Shanghai–EU) up 400% (Dec 2023–Jan 2024)

Sector-specific:

Tesla Berlin plant paused 2 weeks (Jan 2024) because of missing components.

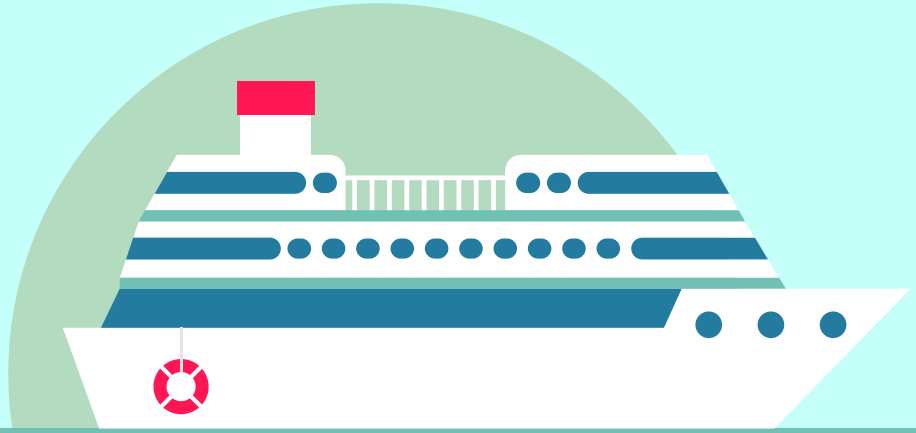
Global Freight Rates Surge Amid Red Sea Woes

Rates jumped 363% from Dec. 7 to Sept. 11



Source: Bloomberg Intelligence

Bloomberg



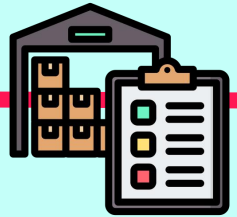
03

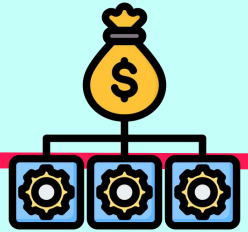
Economic Intelligence: Impact on International Commerce

Direct Commercial Impacts

Inventory:

- ✓ Just-in-time vs just-in-case
- ✓ many firms caught with <2 weeks buffer



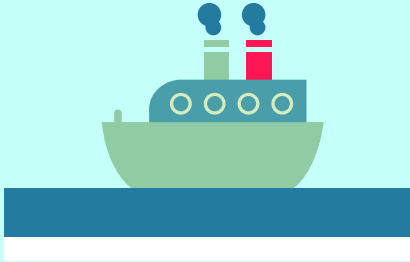


Cost structure:

- ✓ Fuel surcharges added ($500–$1,200 per container)
- ✓ Insurance: from 0.2% to 1.5% of cargo value

Payment terms:

- ✓ Letters of credit delayed → cash flow strain for SMEs



Sector Vulnerability Matrix

High vulnerability	Medium vulnerability	Low vulnerability
Automotive (European assembly)	Electronics	Digital services
Fast fashion (Zara, H&M)	Pharmaceuticals (time-sensitive)	Regional trade (e.g., USMCA)
Perishable food (dates, coffee, tea)	Machinery	Air-freighted luxury goods

Macroeconomic Intelligence

Inflationary pressure:

EU import prices +3–5% estimated (Q1 2024)

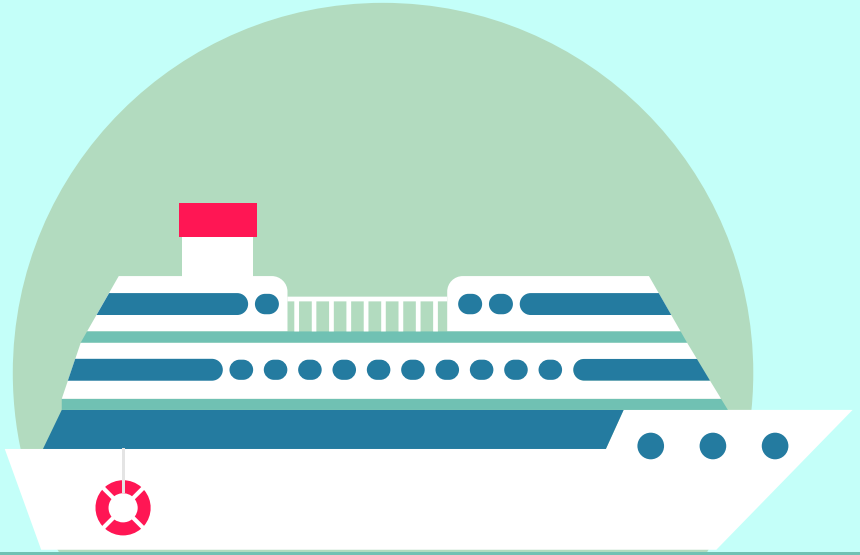
CO2 emissions:

Each Cape detour adds around 40% more fuel
→ +15M extra tons CO2 (annualized)

Competitor intelligence:

Chinese rail freight (Belt & Road) saw +30% demand as alternative

04
Strategic Responses



How Different Players Reacted

Maersk (shipping)

Paused Red Sea transits, then resumed with naval escort

✓ Real-time risk assessment loop

IKEA

Increased inventory buffers + dual sourcing

✓ Supply chain mapping maturity

EU automakers

Air freight for critical parts (+500% cost but saved production)

✓ Cost vs. continuity trade-off

Walmart

Diverted to West Coast US → rail to East Coast

✓ Alternative route planning

What Should Have Been Done Earlier?

Supplier mapping beyond Tier 1 (Tier 3 often crosses critical routes)

War-gaming scenarios "What if Red Sea closes for 3 months?"

Permanent monitoring desk for choke points (Suez, Panama, Hormuz, Bab el-Mandeb)

Insurance diversification not all policies cover war and rerouting

Conclusion

Strategic monitoring :
tracking weak signals (insurance premiums, AIS diversions) before mainstream news

Economic intelligence :
translating shipping data into P&L (profit and loss) impact (inventory, margins, inflation)

International commerce is more fragile than it looks :one strait can move markets

Actionable recommendation:
Every global supply chain needs a real-time choke-point dashboard

Cagle.com

Thanks for your attention